

LO 28-6
List several important partnership agreement provisions.

To avoid the default rules, partners may agree to enter into a partnership agreement that will govern their relations with one another. [Figure 28.3](#) lists several important items that are defined in a partnership agreement. The case of Billy, James, Darcy, and Jimmy signing a partnership agreement to launch their band, the Smashing Tomatoes, will be used in this section to highlight these various provisions.

FIGURE 28.3 Important Partnership Agreement Items

Capital contributions
Property provision
Profits and losses
Salary
Management rights
Buy-sell agreement

Capital Contributions

The capital contribution lists how much value each partner has contributed to their individual capital accounts. This amount represents the initial equity investment into the partnership made by each partner. By law this amount must be returned to each partner when the partnership assets are liquidated. Services or knowledge that will be offered to the partnership cannot be recognized as a capital contribution. For example, if Billy has written several songs, he may decide to have the copyrights to his music counted as part of his capital contribution. Likewise, if any of the band members own musical equipment, they can also have these recorded and valued as their capital contribution.

Property Provision

The default rule is that any property used for the partnership business may become subject to either partnership ownership or to the partnership's claim to its use. Therefore, partners must decide whether the property they owned individually prior to starting the business will become partnership property in the event it is used by the partnership and was not identified as a capital contribution. For example, suppose James owns a van and he decides he does not want to include that in his capital contribution to the partnership. If he lets the band use his van, however, and the band uses partnership funds to repair the vehicle or pay the auto insurance, the partnership may assert an ownership claim to the van. To avoid this scenario, James would want to specify in the partnership agreement that his van is his sole and exclusive individual property during the term of the partnership.

Profits and Losses

Partners may wish to stipulate profits and losses to reflect their capital contributions or the level of work that will be required by each person. A partnership agreement plans the partners' side-by-side activities so that sometimes these items are not the same. For example, if all the partners agree that Billy's capital contribution should be greater because he has provided the lyrics and melodies for the band's songs, he may be entitled to a higher proportion of the profits.

Salary

As mentioned earlier, partners are only entitled to an equal share of profits under the default rules. This provision in a partnership agreement allows partners to receive a guaranteed salary for the work they will perform on behalf of the partnership. For example, Darcy may spend a considerable amount of time booking shows for the band and working with venues, outdoor music festivals, and promoters to schedule performances and their yearly live music tour. To compensate her for this extra level of work, Darcy may require a guaranteed salary that is defined in the partnership agreement.

Management Rights

Unless the agreement specifies otherwise, all partners have equal management rights and may sign contracts on behalf of the partnership that are within the ordinary course of the partnership's business. This can be dangerous if partners who lack the requisite skill make bad business decisions that are binding on the other partners. This can also can lead to a frustrating situation if one partner enters into a binding agreement without consulting the other partners.

Imagine a scenario where each band member has equal management rights. This means each band member can purchase musical equipment and then seek reimbursement from the other band members. Likewise, someone may decide to contract with a venue to perform in a different state without informing the other band members. To get around this risky default scenario, the band members should create a written partnership agreement that stipulates the management authority and role of each band member. If the band members wish to transfer all management authority to one partner or someone they hire to manage their business affairs, they may do so. If they decide they all want to preserve the right to participate in business decisions, they might stipulate that certain important management decisions require a majority or unanimous approval from the other partners. The following management authority may be limited by requiring a unanimous or majority approval from the other partners:

- Signing a contract that is longer than one year in length.
- Signing a contract that exceeds a certain dollar amount.
- Borrowing money on behalf of the partnership.
- Selling partnership property.

With such a safeguard in place, any partner who fails to obtain authorization from the other partners would act without authority and the transaction could be declared void.

Buy–Sell Agreement

A buy-sell agreement allows the remaining partners to purchase the partnership interest of a withdrawing partner. This provision helps ensure the continuity of the partnership business and can avoid legal disputes if a valuation methodology is provided.

TAKEAWAY CONCEPTS: The Partnership Agreement

- To avoid the default rules, partners may agree to enter into a partnership agreement that will govern their relations with one another.
- Important partnership agreement provisions include
 - Capital contributions.
 - Property provision.
 - Profits and losses.
 - Salary.
 - Management rights.
 - Buy–sell agreement.